

Annex XXII

Indicative List of Balance Sheet Disclosure for NBFCs in Middle Layer and above

1. Minimum Disclosures

At a minimum, the items listed in **Annex XXII** shall be disclosed in the Notes to Accounts (NTA) by NBFCs. The disclosures listed are intended only to supplement, and not to replace, other disclosure requirements as applicable.

2. Summary of Significant Accounting Policies

NBFCs shall disclose the accounting policies regarding key areas of operations at one place along with NTA in their financial statements. A suggestive list includes – Basis of Accounting, Transactions involving Foreign Exchange, Investments - Classification, Valuation, etc., Advances and Provisions thereon, Fixed Assets and Depreciation, Revenue Recognition, Employee Benefits, Provision for Taxation, Net Profit, etc.

3.1 Capital

[Amount in ₹ crore]

Particulars	Current Year	Previous Year
(i) CRAR (%)		
(ii) CRAR – Tier 1 capital (%)		
(iii) CRAR – Tier 2 capital (%)		
(iv) Amount of subordinated debt raised as Tier- 2 capital		
(v) Amount raised by issue of Perpetual Debt Instruments		

3.2 Investments

[Amount in ₹ crore]

Particulars	Current Year	Previous Year
3.2.1. Value of Investments		
(i) Gross Value of Investments		
(a) In India		
(b) Outside India		
(ii) Provisions for Depreciation		
(a) In India		
(b) Outside India		
(iii) Net Value of Investments		
(a) In India		
(b) Outside India		
3.2.2. Movement of provisions held towards depreciation on investments		
(i) Opening balance		

(ii) Add: Provisions made during the year		
(iii) Less: Write-off/write-back of excess provisions during the year		
(iv) Closing balance		

3.3 Derivatives

3.3.1 Forward Rate Agreement/Interest Rate Swap

[Amount in ₹ crore]

Particulars	Current Year	Previous Year
(i) The notional principal of swap agreements		
(ii) Losses which would be incurred if counterparties failed to fulfil their obligations under the agreements		
(iii) Collateral required by the NBFC upon entering into swaps		
(iv) Concentration of credit risk arising from the swaps ^{\$}		
(v) The fair value of the swap book [@]		
Note: Nature and terms of the swaps including information on credit and market risk and the accounting policies adopted for recording the swaps should also be disclosed.		
^{\$} Examples of concentration could be exposures to particular industries or swaps with highly geared companies.		
[@] If the swaps are linked to specific assets, liabilities, or commitments, the fair value would be the estimated amount that the NBFC would receive or pay to terminate the swap agreements as on the balance sheet date		

3.3.2 Exchange Traded Interest Rate (IR) Derivative

[Amount in ₹ crore]

Particulars	Amount
(i) Notional principal amount of exchange traded IR derivatives undertaken during the year (instrument wise)	
(a)	
(b)	
(c)	
(ii) Notional principal amount of exchange traded IR derivatives outstanding as on 31 st March (instrument wise)	
(a)	
(b)	
(c)	
(iii) Notional principal amount of exchange traded IR derivatives outstanding and not “highly effective” (instrument wise)	
(a)	
(b)	
(c)	
(iv) Mark-to-market value of exchange traded IR derivatives outstanding and not “highly effective” (instrument wise)	
(a)	
(b)	
(c)	

3.3.3 Disclosures on Risk Exposure in Derivatives

Qualitative Disclosures

NBFCs shall describe their risk management policies pertaining to derivatives with particular reference to the extent to which derivatives are used, the associated risks and business purposes served. The discussion shall also include:

- (i) The structure and organization for management of risk in derivatives trading,
- (ii) The scope and nature of risk measurement, risk reporting and risk monitoring systems,
- (iii) Policies for hedging and/or mitigating risk and strategies and processes for monitoring the continuing effectiveness of hedges/mitigants, and
- (iv) Accounting policy for recording hedge and non-hedge transactions; recognition of income, premiums and discounts; valuation of outstanding contracts; provisioning, collateral and credit risk mitigation.

Quantitative Disclosures

[Amount in ₹ crore]

Sl.No.	Particulars	Currency Derivatives	Interest Rate Derivatives
(i)	Derivatives (Notional Principal Amount)		
	For Hedging		
(ii)	Marked to Market Positions		
	(a) Assets (+)		
	(b) Liability (-)		
(iii)	Credit Exposure		
(iv)	Unhedged Exposures		

3.4 Assets Liability Management (Maturity pattern of certain items of Assets and Liabilities)

Particulars	1 day to 7 days	8 to 14 days	15 days to 30/31 days	Over one month upto 2 months	Over 2 months upto 3 months	Over 3 months & up to 6 months	Over 6 months & up to 1 year	Over 1 year & up to 3 years	Over 3 years & up to 5 years	Over 5 years	Total
Deposits											
Advances											
Investments											
Borrowings											
Foreign Currency Assets											

Foreign Currency Liabilities											
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3.5 Exposure

3.5.1 Exposure to Real Estate Sector

[Amount in ₹ crore]

Category		Current Year	Previous Year
a)	Direct Exposure		
(i)	Residential Mortgages - Lending fully secured by mortgages on residential property that is or will be occupied by the borrower or that is rented		
(ii)	Commercial Real Estate - Lending secured by mortgages on commercial real estates (office buildings, retail space, multi-purpose commercial premises, multi-family residential buildings, multi-tenanted commercial premises, industrial or warehouse space, hotels, land acquisition, development and construction, etc.). Exposure shall also include non-fund based limits		
(iii)	Investments in Mortgage Backed Securities (MBS) and other securitised exposures -		
	a. Residential		
	b. Commercial Real Estate		
Total Exposure to Real Estate Sector			

3.5.2 Exposure to Capital Market

[Amount in ₹ crore]

Particulars		Current Year	Previous Year
(i)	Direct investment in equity shares, convertible bonds, convertible debentures and units of equity-oriented mutual funds the corpus of which is not exclusively invested in corporate debt		
(ii)	Advances against shares / bonds / debentures or other securities or on clean basis to individuals for investment in shares (including IPOs / ESOPs), convertible bonds, convertible debentures, and units of equity-oriented mutual funds		
(iii)	Advances for any other purposes where shares or convertible bonds or convertible debentures or units of equity oriented mutual funds are taken as primary security		
(iv)	Advances for any other purposes to the extent secured by the collateral security of shares or convertible bonds or convertible debentures or units of equity oriented mutual funds i.e. where the primary security other than shares / convertible bonds / convertible debentures / units of equity oriented mutual funds 'does not fully cover the advances		
(v)	Secured and unsecured advances to stockbrokers and guarantees issued on behalf of stockbrokers and market makers		
(vi)	Loans sanctioned to corporates against the security of shares / bonds / debentures or other securities or on clean basis for		

	meeting promoter's contribution to the equity of new companies in anticipation of raising resources		
(vii)	Bridge loans to companies against expected equity flows / issues		
(viii)	All exposures to Venture Capital Funds (both registered and unregistered)		
Total Exposure to Capital Market			

3.5.3 Details of financing of parent company products

3.5.4 Details of Single Borrower Limit (SGL)/Group Borrower Limit (GBL) exceeded by the NBFC

The NBFC shall make appropriate disclosure in the NTA to the annual financial statements in respect of the exposures where it had exceeded the prudential exposure limits during the year. The sanctioned limit or entire outstanding, whichever is high, shall be reckoned for exposure limit.

3.5.5 Unsecured Advances

(i) For determining the amount of unsecured advances, the rights, licenses, authorisations, etc., charged to the NBFCs as collateral in respect of projects (including infrastructure projects) financed by them, shall not be reckoned as tangible security. Hence, such advances shall be reckoned as unsecured.

(ii) NBFCs shall also disclose the total amount of advances for which intangible securities such as charge over the rights, licenses, authority, etc. has been taken as also the estimated value of such intangible collateral. The disclosure shall be made under a separate head in NTA. This would differentiate such loans from other entirely unsecured loans.

4. Miscellaneous

4.1. Registration obtained from other financial sector regulators

4.2. Disclosure of Penalties imposed by the Reserve Bank and other regulators

Consistent with the international best practices, in disclosure of penalties imposed by the regulators, placing the details of the levy of penalty on the NBFC in public domain will be in the interests of the investors and depositors. Further, strictures or directions on the basis of inspection reports or other adverse findings shall also be disclosed in the public domain. The penalties shall also be disclosed in the NTA.

4.3. Related Party Transactions

4.3.1. Details of all material transactions with related parties shall be disclosed in the Annual Report.

4.3.2. The NBFC shall disclose the policy on dealing with Related Party Transactions on its website and also in the Annual Report.

4.4. Ratings assigned by Credit Rating Agencies and migration of ratings during the year

4.5. Remuneration of Directors

All pecuniary relationship or transactions of the non-executive directors vis-à-vis the company shall be disclosed in the Annual Report.

4.6. Management

As part of the Directors' report or as an addition thereto, a Management Discussion and Analysis report shall form part of the Annual Report to the shareholders. This Management Discussion & Analysis shall include discussion on the following matters within the limits set by the company's competitive position:

- (i) Industry structure and developments.
- (ii) Opportunities and Threats.
- (iii) Segment-wise or product-wise performance.
- (iv) Outlook.
- (v) Risks and concerns.
- (vi) Internal control systems and their adequacy.
- (vii) Discussion on financial performance with respect to operational performance.
- (viii) Material developments in Human Resources/Industrial Relations front, including number of people employed.

4.7. Net Profit or Loss for the period, prior period items and changes in accounting policies

Since the format of the Profit and Loss account of NBFCs does not specifically provide for disclosure of the impact of prior period items on the current year's profit and loss, such disclosures, wherever warranted, shall be made in the NTA.

4.8. Revenue Recognition

NBFC shall also disclose the circumstances in which revenue recognition has been postponed pending the resolution of significant uncertainties.

4.9. Consolidated Financial Statements (CFS)

NBFCs may be guided by general clarifications issued by ICAI from time to time. A parent company, presenting the CFS, shall consolidate the financial statements of all subsidiaries - domestic as well as foreign. The reasons for not consolidating a subsidiary shall be disclosed in the CFS. The responsibility of determining whether a particular entity shall be included or not for consolidation would be that of the Management of the parent entity. In case, its Statutory Auditors are of the opinion that an entity which ought to have been consolidated has been omitted, they shall incorporate their comments in this regard in the "Auditors Report".

5. Additional Disclosures

5.1. Provisions and Contingencies

To facilitate easy reading of the financial statements and to make the information on all Provisions and Contingencies available at one place, NBFCs are required to disclose in the NTA the following information:

[Amount in ₹ crore]		
Break up of 'Provisions and Contingencies' shown under the head Expenditure in Profit and Loss Account	Current Year	Previous Year
Provisions for depreciation on Investment		
Provision towards NPA		
Provision made towards Income tax		
Other Provision and Contingencies (with details)		
Provision for Standard Assets		

5.2. Draw Down from Reserves

Suitable disclosures are to be made regarding any draw down of reserves in the NTA.

5.3. Concentration of Deposits, Advances, Exposures and NPAs

5.3.1. Concentration of Deposits (for deposit taking NBFCs)

[Amount in ₹ crore]	
Particulars	
Total deposits of twenty largest depositors	
Percentage of Deposits of twenty largest depositors to Total Deposits of the deposit taking NBFC	

5.3.2. Concentration of Advances

[Amount in ₹ crore]

Particulars	
Total Advances to twenty largest borrowers	
Percentage of Advances to twenty largest borrowers to Total Advances of the NBFC	

5.3.3. Concentration of Exposures

[Amount in ₹ crore]

Particulars	
Total Exposure to twenty largest borrowers/customers	
Percentage of Exposures to twenty largest borrowers/customers to Total Exposure of the NBFC on borrowers/customers	

5.3.4. Concentration of NPAs

[Amount in ₹ crore]

Particulars	
Total Exposure to top four NPA accounts	

5.3.5. Sector-wise NPAs

Sr. No.	Sector	Percentage of NPAs to Total Advances in that sector
1.	Agriculture and allied activities	
2.	MSME	
3.	Corporate borrowers	
4.	Services	
5.	Unsecured personal loans	
6.	Auto loans	
7.	Other personal loans	

5.4. Movement of NPAs

[Amount in ₹ crore]

Particulars	Current Year	Previous Year
(i) Net NPAs to Net Advances (%)		
(ii) Movement of NPAs (Gross)		
(a) Opening balance		
(b) Additions during the year		
(c) Reductions during the year		
(d) Closing balance		
(iii) Movement of Net NPAs		
(a) Opening balance		
(b) Additions during the year		
(c) Reductions during the year		
(d) Closing balance		
(iv) Movement of provisions for NPAs (excluding provisions on standard assets)		

	(a)	Opening balance		
	(b)	Provisions made during the year		
	(c)	Write-off/write-back of excess provisions		
	(d)	Closing balance		

5.5. Overseas Assets (for those with Joint Ventures and Subsidiaries abroad)

Name of the Joint Venture/ Subsidiary	Other Partner in the JV	Country	Total Assets

5.6. Off-balance Sheet SPVs sponsored

(which are required to be consolidated as per accounting norms)

Name of the SPV sponsored	
Domestic	Overseas

6. Disclosure of Customer Complaints

(a)	No. of complaints pending at the beginning of the year	
(b)	No. of complaints received during the year	
(c)	No. of complaints redressed during the year	
(d)	No. of complaints pending at the end of the year	